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Airbus ramp hits another speed bump

Christophe Menard
Research Analyst
+33-1-4495-9315

Samrudh Agrawal
Research Associate

Sriram Krishnan, CFA
Research Analyst
+44-20-7541-0983

Another manageable defect but less headroom for disruption

Airbus has identified a surface-protection deviation affecting lower-forward fuselage stringers on around 500 A321neo aircraft, split between in-service and production units. The issue may reduce long-term corrosion resistance but is classified as a quality rather than safety concern. Although manageable, it adds to evidence that Airbus's industrial system has limited tolerance for supplier and process failures as output rises. The source has been contained, new components meet requirements, and the remedy does not require stringer removal. In-service aircraft can be rectified during maintenance, while undelivered aircraft require simple rework. The A321XLR is unaffected as the relevant stringers were introduced in a package for the standard A321neo, indicating an execution issue rather than broader design risk. Nevertheless, the defect follows the 2025 out-of-tolerance fuselage-panel issue, which caused inspections, rework and delivery delays despite no immediate safety implications. Structural-component shortages at Spirit AeroSystems have constrained A350 and A220 production. While the causes differ, the recurrence suggests supplier industrialisation, quality assurance and process standardisation are not improving uniformly with Airbus's targeted production ramp. This is relevant as A320-family output is intended to increase from around 60 to 75 aircraft per month. Stronger inspections may identify defects earlier, which is positive, but do not eliminate rework, delivery-phasing or working-capital effects. With 475 aircraft delivered through August, Airbus needs 395 more deliveries to reach 870. The stringer issue alone presents limited risk but reduces execution headroom, reinforcing industrial execution as the investment constraint.

Figure 1: Understanding the Stringer issue



Source : Deutsche Bank, Image generated through AI

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Company news of interest

Below, we provide important sector news relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €232)

Airbus identifies A321neo quality defect but says no safety risk

Airbus has identified and contained a "quality issue" involving a surface protection deviation on the fuselage stringers of its A321neo aircraft, which the manufacturer states poses no immediate safety risk. The defect affects approximately 500 aircraft, split roughly between 250 currently in service and 250 in production, though the longer-range A321XLR remains unaffected. While this marks the second industrial fuselage issue for the model in nine months, customers continue to accept deliveries without requiring immediate repairs, although regulators may eventually mandate a repair schedule. The issue, which originated from Airbus's in-house aerostructures unit Stelia, comes at a sensitive time as the planemaker actively tries to ramp up its narrow-body jet production from about 60 to 75 aircraft per month. (Source: Reuters)

Our view: *This is a modest execution negative rather than a safety issue. The issue appears contained, so we do not think (at this stage) FY26 delivery targets are at risk due to that specific issue. This could initially be viewed negatively given the December 2025 panel issue, which took around six months to resolve despite affecting only approximately 20 aircraft. The current issue covers about 500 aircraft and could require a larger rework programme, particularly as the stringers are located beneath the aircraft skin. However, the defect appears contained and relates to corrosion-protection coating rather than structural integrity. Deliveries can continue, and in-service repairs may be completed during scheduled heavy-maintenance visits.*

Airbus pitches Eurofighter to Portugal as best replacement for F-16 jets

Airbus plans to submit an unsolicited proposal to Portugal by early November to supply Eurofighter Typhoon jets, aiming to replace the country's aging F-16 fleet. This move comes as Portugal has yet to launch a formal tender, but signals intense competition for a deal that would align Lisbon's defence strategy with either European or US partners. The proposal, from Airbus and its Eurofighter will include financing solutions, industrial participation, and military cooperation. Airbus argues the Typhoon is better suited for Portugal's primary tasks of air policing and NATO quick reaction alert missions, rather than the offensive operations for which the F-35 stealth fighter is designed. The Typhoon will compete against Lockheed Martin's F-35, Dassault Aviation's Rafale, and Saab's Gripen E. (Source: Reuters)

Our view: *This is an early campaign development rather than a clear positive, as Portugal has not launched a tender and Airbus has not yet submitted its unsolicited proposal. The potential 28-aircraft requirement would be meaningful for Eurofighter production if secured, while financing, local industrial participation and alignment with European partners may strengthen the offer. However, the twin-engine aircraft may face higher acquisition and operating costs than Gripen or Rafale, with the Portuguese Ministry of Defence confirming that the F-35 remains a candidate in Lisbon's future fighter considerations. However, any eventual decision will heavily weigh the "current geopolitical context" and a desire to support the European defence industrial base. With Rafale also pursuing local industrial cooperation, the*



contest is increasingly competitive.

A321 PATMAR programme reportedly will not enter the development and production phase in 2026

The planned launch of France's future maritime-patrol-aircraft programme is reportedly slipping beyond 2026 because the proposed Airbus A321 PATMAR solution exceeds the available budget. The French Defence Procurement Agency and Airbus are negotiating to reduce costs, while performance and sovereignty considerations may also influence the decision. Airbus and Thales remain under a 24-month risk-reduction study for the A321XLR-based aircraft, selected over Dassault Aviation's Falcon 10X concept to replace the French Navy's Atlantique 2 fleet. A delay could expose the programme to political uncertainty surrounding France's 2027 elections and potentially push it down the procurement-priority list. The development and production phase has not been cancelled, but its expected 2026 approval now appears unlikely. (Source: Opex360)

Our view: *This is negative for the programme timing but is not evidence that the A321 PATMAR selection has been reversed. The reported affordability gap is concerning because France had earmarked nearly €3bn in commitment authority and the negotiations now appear focused on reducing Airbus's proposal to fit the available budget. A delay into the 2027 election period could expose the programme to reprioritisation, capability reductions or renewed scrutiny of the (less costly) Falcon 10X alternative, although France's need to replace the Atlantique 2 fleet and protect its maritime nuclear deterrent remains strategically compelling. The 24-month risk-reduction contract continues, preserving near-term engineering work, but full development approval is now the key catalyst. From the start, it was evident that the risk-reduction analysis would take longer than with Dassault Aviation, as Airbus was not the incumbent supplier.*

Malaysia Airlines extends Airbus FHS contract for A330ceo fleet

Malaysia Airlines has extended its Flight Hour Services (FHS) agreement with Airbus for its A330ceo fleet, an agreement that has provided primary maintenance support since 2017 and expanded to its A330neos starting in 2024. The long-term, power-by-the-hour contract covers integrated component services, including on-site stock, pool access, repair services, and component reliability engineering, along with Airbus's engineering expertise and regional FHS representatives for daily maintenance support. Malaysia Airlines COO noted the program's continuous value in enhancing operational performance and reliability. (Source: Bloomberg)

Our view: *This is modestly positive for Airbus, complementing the FHS agreement already covering Malaysia Airlines A330neos. The contract should provide more stable and typically higher-margin revenue than original-equipment deliveries. Though the airlines 16 A330ceos will progressively be replaced by A330neos, making this primarily a bridge that retains service economics during the fleet transition rather than a material new growth contract.*

Airbus Gets 25-Year French Military Cybersecurity Contract

The French DGA has awarded Airbus the 25-year PARACOM contract to deliver advanced cybersecurity gateways for the French Ministry of the Armed Forces and Veterans' Affairs. This agreement, secured after a competitive tender, encompasses the complete design, development, production, and extended operational maintenance of these gateways. Upon deployment across all armed forces and ministerial departments, the PARACOM gateways will establish a critical cybersecurity foundation, facilitating secure and filtered data exchanges

between networks and information systems of varying classification levels, ranging from 'secret' to 'unclassified'. These highly versatile gateways will be deployed in diverse environments, from data centers to tactical settings such as surface vessels, submarines, aircraft, and armored vehicles, underscoring the military's prioritization of data flow filtering in an increasingly digitized operational landscape. (Source: Company)

Our view: *This is strategically attractive for Airbus, providing unusually long revenue visibility. The win could be at the detriment of Thales. PARACOM's deployment across fixed networks and tactical platforms should create recurring software, certification, upgrade and support work as cyber threats evolve over the 25-year term. The contract also strengthens Airbus' role in connecting classified networks across multi-domain operations, an area likely to grow as armed forces digitise platforms and incorporate autonomous systems. Though Financial materiality cannot yet be assessed because neither value, quantities nor delivery timing were disclosed, it should be marginally margin-accretive over time given the structure.*

Embraer Nears Regional Jet Order from JAL in Blow to Airbus

Japan Airlines is reportedly favoring Embraer's E2 regional jets over Airbus A220 for an upcoming order of approximately 20 aircraft. A final decision from JAL, which has been considering up to 40 regional jets and 30 propeller planes, could come as early as October. If JAL chooses the E2, it would strengthen Embraer's presence with a significant Asian customer and could be seen a setback for the A220 program, despite Airbus securing other A220 deals. Embraer's E2 has recently secured orders from ANA, Finnair, and SAS Scandinavian Airlines and is also in contention for a large order from IndiGo. (Source: Bloomberg)

Our view: *Though no final selection has been made, if confirmed, this would be a modest competitive negative for Airbus. While JAL operates neither aircraft today, the E2 benefits from J-Air's existing fleet of 32 Embraer E-Jets, established support relationship and recently renewed maintenance agreement, reducing transition risk relative to introducing the A220. An order of around 20 aircraft is not material for Airbus, but losing JAL would add to uncertainty around the A220's commercial momentum, particularly as the programme's recent 150-aircraft commitment carries conversion risk given the airline's financial pressure and funding requirements and the airBaltic Chapter 11 procedure. MTU benefits whichever platform wins because it participates in both GTF variants, with an identical 15% programme share in the two programmes.*

Airbus adapts A380 wing factory for A321 programme

Airbus is investing £150 million to convert its former A380 wing production facility in Broughton, UK, into a dedicated line for A321 wings. This strategic move, mirroring the adaptation of its A380 assembly plant in Toulouse for A320-family jets, is driven by the fact that A321neos account for 70% of the A320neo-family order backlog. The modified Broughton facility, expected to be completed by the end of 2026, will feature six wing production jigs, an equipping line, and a paint shop. This investment supports Airbus's goal to increase A320neo-family production to 70-75 aircraft per month by the end of 2027 and stabilize at "Rate 75" thereafter, despite previous supply-chain challenges. Additionally, Airbus plans to expand its Belfast wing facility by the first half of 2028 to increase A220 production, targeting "Rate 13" for the A220 program by 2028. (Source: Cirium)

Our view: *This is positive for production execution and removes a potential wing-capacity bottleneck in the A320-family ramp. This is all the more strategic and critical,*

as it is identified as a production bottleneck: Boeing is experiencing some issues on the B737 ramp-up, on the back of wing manufacturing issues. The £150m conversion is particularly relevant because the A321 represents around three-quarters of Airbus's single-aisle backlog and requires dedicated industrial capacity as the product mix shifts towards larger variants. However, the investment creates capacity rather than guaranteeing output, with engines, aerostructures, cabins and skilled labour still determining the achievable delivery rate.

China making progress on finalizing Boeing purchases announced in May

U.S. Trade Representative Jamieson Greer confirmed that China is progressing on its May commitment to purchase 200 Boeing jets, with approximately 140 in good standing and orders for an additional 10 being finalized. This represents Boeing's first significant Chinese deal in nearly a decade. While President Donald Trump had previously suggested China might increase its Boeing order to as many as 750 planes, Boeing CEO Kelly Ortberg downplayed expectations of a major new order announcement during the upcoming Trump-Xi Jinping summit. Ortberg indicated that any future incremental orders would be announced by Chinese airlines at their own discretion. (Source: Reuters)

Our view: *This is neutral for Airbus and primarily confirms implementation of the 200-aircraft commitment announced in May rather than signalling another order. Only around 140 aircraft are currently described as being in good standing and another ten are being documented, suggesting final airline allocations and contracts remain incomplete. The agreement reopens the Chinese market to Boeing after nearly a decade, but Airbus retains a strong installed base, more than 50% market share and two local A320-family assembly lines. The impact on Safran will depend on the final aircraft mix.*

BAE Systems (Hold, PT: 2,325p)

Germany urges US to allow Patriot missile production in Europe

Germany is pressing the United States to permit European production of PAC-3 MSE interceptors for the Patriot air-defence system, arguing that additional manufacturing capacity would ease a severe global supply shortage. Defence Minister Boris Pistorius raised the proposal with US Defence Secretary Pete Hegseth under a broader statement of intent on bilateral defence-industrial cooperation. Germany already produces PAC-2 GEM-T missiles through COMLOG, the joint venture between MBDA Germany and Raytheon, while PAC-3 MSE is made by Lockheed Martin in the US. Any European line would require approval from the US government and Lockheed Martin, alongside agreement over intellectual property and production scope. The initiative could expand NATO interceptor capacity and support Ukraine, but it remains a proposal. (Source: DefenseNews)

Our view: *This would be strategically positive for European missile capacity, if approved, but it remains dependent on approval. MBDA Germany would be a credible candidate for participation given its existing PAC-2 GEM-T production through COMLOG, although Lockheed's established German cooperation with Rheinmetall could also position Rheinmetall for meaningful workshare. However, sensitive intellectual property may initially limit Europe to components, subassemblies or final assembly, leaving the eventual value capture and industrial participants uncertain.*



RAF grounds Hawk fleet following crash

The UK Royal Air Force (RAF) has temporarily grounded its entire fleet of Hawk T1 and T2 advanced jet trainer aircraft following a crash at RAF Valley on September 23, 2026. This grounding affects the 10 Hawk T1 airframes utilized by the Red Arrows aerobatic display team, as well as the 28 Hawk T2 airframes that entered service in 2009 and are used for the Advanced Fast Jet Training (AFJT) program for both RAF and Royal Navy pilots. While both crewmembers ejected safely from the crashed Hawk T2 with no reported ground injuries, the Ministry of Defence has not released further details. (Source: Janes)

Our view: *This is a watch item rather than a negative until the investigation establishes the cause. The temporary suspension compounds existing Hawk T2 availability problems and could disrupt the fast-jet training pipeline, increasing pressure on the UK to accelerate its £360m replacement programme. BAE and Rolls-Royce could face reputational or support implications if the cause is linked to the airframe, controls or Adour engine, but no technical attribution has been made and precautionary fleet pauses are standard after serious incidents.*

BAE Systems Completes Critical Design Review for $1.2B Space Force Program

BAE has successfully completed the critical design review (CDR) for the U.S. Space Force's $1.2 billion Medium Earth Orbit Epoch 2 program, a space-based missile tracking system. The CDR confirmed that the program's design meets all operational, performance, and safety requirements, allowing it to proceed to the production phase. This milestone was achieved on schedule, just 14 months after BAE was awarded the contract. The company will now design and build 10 spacecraft for the program, in addition to developing the ground system that will manage the satellite constellation. (Source: Bloomberg)

Our view: *This is a meaningful programme de-risking milestone confirming that the design can progress into production only 14 months after contract award. BAE acts as prime contractor across the ten satellites, infrared payloads, spacecraft buses and ground command system, giving it unusually broad content. Successful execution would strengthen BAE's credentials for follow-on missile-warning constellations and potential Golden Dome work, while expanding its position beyond traditional defence electronics into integrated military-space systems. This is work being performed by its SMS division within Electronic Systems.*

CSG (Buy, PT: €25)

Latvia chooses Czech howitzers over Swedish Archer offer

The Latvian government has approved the purchase of Morana 155 mm self-propelled wheeled howitzers from CSG, reversing a June 2025 letter of intent to acquire 18 Archer artillery systems from BAE's Bofors. Latvia's Ministry of Defence cited superior pricing, faster delivery timelines, and greater local defense industry involvement as key factors for the switch. Funded by Latvia's record-high 2026 defense budget of €2.16 billion, which represents 4.9% of its GDP, this procurement aims to boost the nation's indirect fire support capabilities. (Source: DefenseNews)

Our view: *This is clearly positive for CSG and negative for BAE, as Latvia has reversed a relatively advanced plan to acquire 18 Archer systems and selected CSG's Morana instead. The decision validates Morana's competitiveness on price, delivery timing and local industrial participation, and should provide an important NATO reference*

as CSG promotes the system in other markets. The number, value and delivery schedule remain undisclosed, so the financial contribution cannot yet be quantified. For BAE, the loss is modest at group level but highlights that Archer's cost and available delivery slots may constrain exports despite its operational maturity. It is understood that the price differential between the two platforms can be ca. €2m, with the Morana seen as the most cost-effective.

Dassault Aviation (Hold, PT: €330)

Dassault Signs Portugal Pact as Rafale Seeks F-16 Replacement

Dassault Aviation, representing its Rafale partners Thales and Safran, signed an MoU with AED Cluster Portugal to investigate industrial cooperation opportunities related to Portugal's F-16 fleet modernization. This initiative follows Dassault Aviation's formal Rafale bid submitted to the Portuguese government in July. AED Cluster Portugal, which comprises over 180 members from the aeronautics, space, and defence sectors, will explore potential collaboration areas with the Rafale partners, aiming to strengthen their existing relationship with Portugal. (Source: Bloomberg)

Our view: *This is an incremental industrial-campaign step rather than evidence that Rafale is close to selection. Portugal's potential requirement has been reported at an initial 14 aircraft, possibly rising to around 28, procured in one or two phases. The MoU strengthens Rafale's bid through local workshare and access to more than 180 Portuguese industrial and research organisations, but the F-35 retains advantages in fifth-generation capability and interoperability with Portugal's existing European F-16 partners. As a reminder, despite public reservations, Portugal has not ruled out the F-35 entirely: the Portuguese Ministry of Defence confirmed that the F-35 remains a candidate in Lisbon's future fighter considerations. However, any eventual decision will heavily weigh the "current geopolitical context" and a desire to support the European defence industrial base. The agreement with AED is further evidence that a Rafale collaboration could support the European Industrial base.*

Dassault Aviation tests AI algorithms on Rafale fighter jet

Dassault Aviation has announced the successful flight-testing of two new AI algorithms on its Rafale fighter jet, signaling a growing trend among arms companies to integrate artificial intelligence into future weapons systems. These algorithms, one developed by Dassault and another in collaboration with Thales, are part of a broader initiative to support human crews and are mature enough for future Rafale upgrades. This development comes as France seeks greater defence autonomy and prepares for next-generation fighter jets or potential upgrades. (Source: Reuters)

Our view: *This is strategically positive and moves Dassault Aviation's sovereign AI effort from laboratory development to flight testing on an operational fighter. The functions remain undisclosed, limiting assessment of their maturity, but the work can support future Rafale standards and autonomous-drone technologies required for Rafale F5 and a future sixth-generation aircraft. One algorithm was developed with Thales's cortAIx, demonstrating how its AI capabilities can be embedded into operational combat platforms too. This confirms Thales' strength in AI.*

Fincantieri (Buy, PT: €19)

Leonardo, Fincantieri JV wins €3.7 billion deal for two Italian Navy warships

Italy has ordered two DDX Destroyer, high end air defence battle ships for €3.7bn. The contract is through OCCAR and is awarded to Orizzonte Sistemi Navali (OSN), a joint venture between Fincantieri (51%) and Leonardo (49%). The total order value includes options worth €1.3bn. It is split between Fincantieri for €1.8bn (including €800m options) and Leonardo for €1.7bn (including €480m options). The first ship is due to be delivered by 2033 and the second one by 2035. (Source: Company)

Our view: *This is clearly positive for both. Fincantieri will design, construct the ship and integrate the systems, while Leonardo is responsible for Combat systems, radar and some weapon systems. For Fincantieri this represents €1bn of firm order, forming part of their commitment to announce €5bn defence orders this year. The other major defence orders from Portugal (€3.5bn) and Greece also likely to be announced this year. Given the higher digital component of this DDX design, we expect margin contribution to be >10% EBITDA for Fincantieri. Design and production revenues are likely to start from FY28 and we believe this order was already baked in their mid-term financial guidance. On cash, given its from Italy (home country) we expect modest cash advances of only 2-3% to be obtained this year. Nevertheless, this reiterates our confidence in Fincantieri's strong order momentum in FY26. For Leonardo, the €1.7bn order represents 14% of expected H2 order intake. Although the contract was likely reflected in the revised FY26 order guidance given in H1, it reinforces confidence that Leonardo can meet or exceed the order intake target of €28.2bn in FY26.*

Fincantieri signs contract with Dong Fang Offshore for one new commissioning service operation vessel

Fincantieri's VARD has secured a new contract, valued between €66-€75 million, with Dong Fang Offshore (DFO) for the design and construction of a Commissioning Service Operation Vessel (CSOV). This marks the fifth vessel VARD will build for DFO, reinforcing its role as a key partner in the offshore wind, subsea, and power cable markets. The vessel, based on the VARD 4 39 design and customized for DFO, will be approximately 102.5 meters long and 19.5 meters wide and will be built at Vard Vung Tau in Vietnam, with delivery scheduled for Q3 2028. (Source: Company)

Our view: *This is modestly positive for Fincantieri, adding €66m-€75m to offshore backlog and reinforcing a repeat-customer relationship that now covers five vessels. The reuse of the established VARD 4 39 design and construction at the Vietnamese yard should reduce engineering risk and support reasonable execution economics.*

Hensoldt (Buy, PT: €105)

NATO military chiefs tell industry they are ready to buy

At the annual Military Committee Conference in Copenhagen on September 18 and 19, NATO's 32 allied chiefs of defence issued a unified demand to the defense industry, urging manufacturers to deliver capabilities with speed, scale, and predictability to match the alliance's readiness to purchase. Building on the industrial resilience pledges from the July Ankara Summit, the meeting focused on shifting from budget commitments to the rapid delivery of multi-domain defense capabilities. Military Committee Chair Admiral Giuseppe Cavo Dragone highlighted the urgency of collective deterrence, particularly in response to Russia's airspace

violations, drone incidents, and hybrid activities. (Source: UK Defence Journal)

Our view: *This is supportive for the sector but is a political signal rather than a new procurement commitment. The important shift is from announcing higher budgets towards delivering capability, reinforcing demand for ammunition, air defence, autonomous systems, sensors, secure communications and platforms across the coverage universe. The material catalyst remains multi-year contracts and advance funding that allow industry to justify further capacity investment.*

Kongsberg Gruppen (Buy, PT: NOK 360)

Kongsberg Prepares for Space Growth Period

Kongsberg is preparing to expand its European space-manufacturing capacity as demand rises for sovereign satellite and defence capabilities. The group could select a site in Germany before the end of 2026, with options reportedly including a greenfield facility or an existing automotive-related manufacturing location. The investment would help scale spacecraft production and strengthen Kongsberg's position across satellites, onboard electronics, launch services and ground infrastructure. Germany would provide access to a large industrial base and growing national and European space budgets. A final location and investment commitment have not yet been announced. (Source: Aviation Week)

Our view: *This is strategically positive but remains a proposed capacity investment. German production would position Kongsberg closer to Europe's largest emerging military-space budget and provide local industrial content for sovereign satellite procurements. The initiative would complement the KIRK consortium with Helsing, OHB and Hensoldt, combining Kongsberg's spacecraft and ground-station capabilities with AI processing and multi-modal sensors for a European surveillance and targeting constellation.*

Canada, France to Develop Space Systems as Carney Eyes EU

Canadian Prime Minister Mark Carney and French President Emmanuel Macron announced that their nations will task their space agencies and defense departments to develop and share infrastructure, including space-launch systems. This move represents Canada's effort to reduce economic reliance on the US and deepen European ties, following the escalation of trade tensions. This geopolitical pivot is further highlighted by proposals for Canada to become the EU's first associate member and a newly announced defense cooperation pact with Norway. This Canadian-Norwegian partnership includes Arctic research, critical minerals mapping, and space technology agreements, such as Kongsberg signing agreements with MDA Space for space-based intelligence and Telesat Corp. to explore collaboration on its Lightspeed low-Earth-orbit satellite network. (Source: Bloomberg)

Our view: *This is strategically positive but remains an intergovernmental framework rather than a funded industrial programme. Kongsberg Gruppen has the clearest incremental industrial exposure through its agreements with MDA Space and Telesat, particularly in Arctic intelligence and resilient connectivity. However, Canada is simultaneously prioritising domestic suppliers for its multibillion-dollar Arctic military communications programme, meaning European companies are more likely to participate through technology partnerships and complementary infrastructure.*

Leonardo (Buy, PT: €72)

Leonardo and Alkeon Partner to Bring 76mm Naval Gun Production to Denmark

Leonardo and Alkeon, a Danish defense investment platform, have signed an MoU to establish in-country assembly and production of Leonardo's 76/62 mm Super Rapid (SR) naval gun system in Denmark. This collaboration aims to bolster Denmark's domestic defence capabilities, enhance local security of supply, and foster industrial resilience, particularly against competitors like BAE Systems Bofors. The agreement will integrate Danish industry, including specialized subcontractors and manufacturing companies from the Bagger-Sørensen network, into Leonardo's global value chain for the widely-used naval gun system. (Source: Naval News)

Our view: *This is strategically positive but financially immaterial at the MoU stage, as no Danish procurement or production volume has been committed. A local assembly capability would improve Leonardo's position in future Danish and Nordic naval competitions by addressing security-of-supply and domestic-workshare requirements, while creating potential recurring ammunition and support revenues around the widely deployed 76/62 Super Rapid system. It could also strengthen competition with BAE Systems Bofors in a region where the 57mm system has a strong position.*

French Airline Grounds Planes Over Noxious Fumes

French carrier Air Corsica has grounded four of its seven ATR turboprop aircraft after pilots repeatedly reported suspected toxic fume leaks in the cockpit and cabin, which caused migraines and other health symptoms. The grounded regional planes are less than four years old and feature new, fuel-efficient Pratt & Whitney engines that entered service in 2022. One of the affected planes had been chartered by Airbus to shuttle workers between its French facilities. ATR is conducting tests alongside Pratt & Whitney to identify the root cause of these "fume events," which typically occur when oil leaks past engine seals into the unfiltered "bleed air" system used across the aviation industry. The outcome of this investigation could have widespread implications, as this engine model is now the standard for new ATR deliveries ordered by major global carriers. (Source: Bloomberg)

Our view: *This is a watch item rather than a clear negative for Airbus and Leonardo, which jointly own ATR, as no technical cause has yet been established. The wider risk depends on whether testing identifies an isolated maintenance or air-conditioning issue, an engine-seal problem, or a systematic defect involving the PW127XT installation. The engine is now standard on new ATR deliveries, so a fleet-wide inspection or modification could disrupt production, deliveries and customer confidence, while an isolated Air Corsica issue would have limited read-across.*

MTU Aero Engines (Buy, PT: €435)

Aerospace suppliers test rare-earth alternatives to ease reliance on China

Due to US-China tensions disrupting the supply of critical minerals from China, the dominant global producer of rare earths like yttrium, indium phosphide, and tungsten, aerospace companies are exploring alternative turbine coating formulas. These rare earths are crucial for jet engine coatings, turbine components, and semiconductors in aerospace and defence systems. Suppliers are revisiting decades-old, non-rare-earth-based materials, such as zirconium dioxide and other

ceramic oxides from the 1970s and 1980s, to mitigate supply chain risks and high prices. Although some rare-earth-free products are already available or in development, experts believe it will take years to find adequate US-based supplies or fully replace modern rare-earth-based materials. This reliance on China for rare earths is expected to persist for the foreseeable future. (Source: Reuters)

Our view: *This highlights a known near-term supply-chain vulnerability, while supplier efforts to develop alternative coatings are positive for longer-term resilience. Older zirconia-based materials, recycling and non-rare-earth formulations could reduce dependence on China, but aerospace qualification cycles are lengthy, especially as engines now operate at higher temperatures than in the 1970s-1980s. Engine and aircraft manufacturers will therefore remain reliant on Chinese materials for several years, potentially requiring higher inventories and additional development spending. Successful substitution would ultimately improve supply security, but is unlikely to ease near-term production constraints materially.*

OHB (Buy, PT: €300)

Saab looks to expand in space sector with new partnerships

Saab has signed preliminary collaboration agreements with space entities SSC Space and OHB, alongside telecommunications firm Ericsson, to broaden its involvement in the space sector. Announced on 24 September, these MoUs aim to position Saab as a system integrator across the space value chain, acknowledging space's increasing strategic importance. The agreements will explore combining the capabilities of these Swedish companies and the Swedish division of German satellite maker OHB to support multi-domain operations from space. (Source: Bloomberg)

Our view: *This is strategically positive for OHB, but nothing financially in the short term. The MoU gives OHB a stronger route into future European military space programmes (particularly in Sweden) by combining its satellite expertise with Saab's defence systems and customer relationships. It does not create near-term revenue, but it increases OHB's chances of winning defence-related contracts in areas such as secure communications, ISR and space-based surveillance.*

Satellite maker Planet Labs opens Berlin factory as military demand booms

Planet Labs is opening a new factory in Berlin, marking an investment of an "eight-figure sum" in euros and becoming the latest company to expand its footprint in Germany amidst surging defence budgets. This new facility, the company's first production site outside California, will produce up to 60 Pelican high-resolution optical satellites annually, effectively doubling Planet Labs' global production output to meet "tremendous demand" from various sectors, including military and intelligence. Although initially focused on climate change monitoring, defence work now constitutes approximately 60% of the company's business, a rapid increase driven by heightened European defence spending. Germany, which plans to invest €35 billion by 2030 in its satellite-based communication and observation systems, is a key market and the company is also seeking to participate in Germany's Spock 2 military procurement program for an orbital reconnaissance network. (Source: Bloomberg)

Our view: *This is a mixed read-across for OHB. While Planet's capacity to build up to 60 high-resolution satellites annually increases competition for Germany's Spock 2*

reconnaissance programme, Planet could also become a supplier or industrial partner rather than solely a rival. Its rapid-production optical satellites could be integrated into a wider multi-sensor architecture led by a European prime, with OHB contributing system integration, other satellite platforms, payloads or constellation management. Planet's investment therefore validates the scale of Germany's military-space opportunity and expands the domestic supplier base needed to deliver large constellations quickly. However, its proven imagery services and local production still make it a credible competitor for prime or platform-level work, with no Spock 2 award made yet.

Renk (Buy, PT: €73)

Europe needs 'decisive change' in defence efforts to face Russia threat

The European Union is not rearming quickly or effectively enough to meet its 2030 goal of being prepared to defend against Russia, according to the executive summary of an EU report. The European Defence Agency's first annual Defence Readiness Report indicates that current plans from member states "do not seem to meet" the objective of addressing critical gaps in areas such as air and missile defence, ground combat, naval forces, munition stockpiles, and drones. The report emphasizes the need to move "further and substantially faster" to achieve defence readiness by 2030, despite acknowledging "unprecedented" progress in spending, capability development, and industrial readiness. (Source: Reuters)

Our view: *This reinforces the durability of European defence demand, as current procurement plans remain insufficient to close capability gaps by 2030. Companies with proven products and available capacity in air defence, ammunition, sensors, drones and land systems should benefit most from faster contracting and larger production runs, while complex bespoke platforms may face greater affordability and schedule scrutiny. The report could also accelerate joint procurement and product standardisation, supporting scale and margins but increasing price transparency and competition. Overall, the demand outlook remains strong, but order conversion, delivery performance and interoperability will increasingly determine which companies capture the spending.*

Rolls-Royce (Buy, PT: 1,705p)

Rolls-Royce to test hybrid-electric demonstrator

Rolls-Royce has been selected by the EU's Clean Aviation programme to lead the ELEVATED project, part of a €290m EU-funded initiative aimed at decarbonising aviation. The multinational consortium will develop and test a hybrid-electric gas-turbine propulsion system for future short- to medium-range aircraft, targeting at least a 20% reduction in aircraft-level CO_2 emissions. The project will assess the impact of hybrid-electric components on Rolls-Royce's UltraFan 30 narrowbody technology demonstrator. It also represents an important step towards achieving Technology Readiness Level 6 (TRL6) for the company's next-generation engine, which is scheduled for ground testing in 2028. (Source: Company)

Our view: *This is a positive news for Rolls-Royce. While the €290 million funding is beneficial, it covers only a small portion of the approximately €5 billion required to develop the next generation of engines. More notably, Rolls-Royce appears to be following a similar technology roadmap to Raytheon and MTU, centred on a hybrid-electric gas-turbine architecture, which could support greater convergence across industry approaches, which could help recreate a single engine consortium against*

CFM.

Safran (Buy, PT: €398)

India's Akasa in Talks with Boeing to Order 200 737 Max Aircraft

Akasa Air is reportedly in discussions to order over 200 additional Boeing 737 Max jets, building on its existing unfilled orders for 183 Max planes. This potential multi-billion dollar deal, expected to be finalized in the second half of 2027, aims to secure aircraft deliveries beyond 2032 and fuel the airline's growth against dominant players. Akasa Air currently operates 43 Boeing 737 Max aircraft and held only 5.5% of the domestic passenger share last month. (Source: Bloomberg)

Our view: *This would be a major long-term positive for Safran through the LEAP-1B, potentially doubling Akasa's already substantial MAX commitment and establishing one of CFM's largest future installed bases in India. However, talks remain early, commercial terms may not be finalised until the second half of 2027 and deliveries would extend beyond 2032. Akasa's small market share, significant existing backlog and possible use of India's emergency credit facility create financing and execution risk. For Airbus, the read-across is neutral as it does not represent a clear competitive loss, with Akasa operating an all-MAX fleet.*

Turkish Airlines finalises order for 100 Max jets, Biman Bangladesh orders additional 787s and 737 Max jets

Turkish Airlines has finalized orders for 100 Boeing 737 Max 8 jets, converting prior letters of intent. This firm order leaves Turkish Airlines with 50 remaining options for Max aircraft, with the flexibility to substitute some Max 8s for the uncertificated Max 10 variant. The airline and its subsidiary AJet currently operate a fleet of 78 Max jets. Separately, Biman Bangladesh Airlines has ordered 11 Boeing 787s and six 737 Max 8s to expand and modernize its fleet, supplementing a previous order placed earlier this year for eight 787-10s, two 787-9s, and four 737 Max 8s. (Source: Cirium)

Our view: *This is positive for Safran through CFM, as the previously conditional Turkish Airlines commitment has converted into 100 firm LEAP-1B-powered 737-8s, with 50 options and substitution rights for the uncertified 737-10. Resolution of the earlier dispute over engine pricing, repair-cost risk and local MRO access secures a substantial installed base, although the final maintenance workshare remains undisclosed and deliveries are long dated from 2033. For Airbus, the combined orders are a small competitive negative although Biman is reportedly still considering a separate smaller Airbus package.*

Safran Invests in CFM RISE Prototyping Partner Akira

Safran has acquired a minority stake in Akira, a French company specializing in high-performance propulsion systems and rotating machinery. Its key capabilities include sustainable aviation (hybrid gearboxes and pairing electric motors with thermal engines) and hydrogen combustion (utilising its certified hydrogen-combustion engine test cell). It also developed the DGEN380 turbofan engine used by Safran, NASA, and JAXA. Safran joins existing investors MBDA and Definvest, a fund managed by Bpifrance and established by the French Defence Procurement Agency (DGA). According to Safran, this strategic investment will bolster Akira's growth plans and solidify a crucial industrial partnership. Specific terms of the deal were not disclosed. (Source: Bloomberg)

Our view: *This is a minor transaction in terms of size and was most likely executed via*

Safran Corporate Ventures. The invested amount is therefore immaterial compared to larger recent industry transactions, such as GE's acquisition of CPP. Nevertheless, the transaction is strategic for Safran, as it brings key capabilities in testing infrastructure and decarbonisation that will support its technology roadmap.

Safran launches US$22 million landing gear MRO facility in Singapore

Safran Landing Systems Services Singapore (SLSSS) officially launched a new US $22 million, 7,500 square meter site at 66 Loyang Way, expanding its MRO capabilities for landing gear in the Asia-Pacific region. This expansion increases SLSSS's total footprint in Singapore making it Safran's second-largest MRO site globally and its largest in APAC. The new facility will focus on landing gear assembly and is expected to reach full operation in October, shipping 2.5 complete sets of landing gear per week and increasing overall capacity by 40%. This will allow SLSSS to service a wider range of aircraft, including Boeing 787, 737, Airbus A380, A350, A320, A321, and ATR models. (Source: Bloomberg)

Our view: *This is positive for Safran's aftermarket mix, increasing landing-gear overhaul capacity by around 40% in a region expected to lead global fleet growth. Landing-gear MRO provides recurring, service-driven revenue and should be margin accretive once the facility reaches full operation, although the group-level contribution will be modest. In our model, the landing gear activity represents ca. €1bn in sales, with Wheels & Brakes coming on higher value and margins.*

Thales (Buy, PT: €296)

Ireland signs acquisition order for five deployable Thales long-range radar systems

Ireland has ordered five Thales deployable long-range radar systems as part of its €1.7 billion defense investment plan for 2026–30, which aims to modernize its land forces and establish critical air surveillance capabilities. Procured through the French DGA for a budget estimated between €300 million and €500 million, the radar systems, widely expected to be Thales GM400α models, will begin delivery next year, targeting full operational capacity by the end of 2028. This acquisition addresses a significant capability gap for Ireland, which currently lacks combat jets and only operates eight Pilatus PC-9 training aircraft. (Source: Opex360)

Our view: *This is clearly positive for Thales, converting Ireland's previously discussed radar requirement into a firm order. The five-system quantity is meaningful, however, the reported €300m-€500m budget appears to cover the broader Military Radar Programme, including ground-based air defence, counter-drone and maritime surveillance, rather than the five Thales radars alone. The precise radar variant and Thales contract value have also not been officially disclosed yet. The contract is not a full surprise, as it had been aired before in the press, the latest being in July 2026.*

TKMS (Buy, PT: €112)

Germany Ready for $8 Billion India Submarine Deal

Germany is poised to finalize an estimated $8 billion deal with India for the construction of six submarines, as confirmed by German envoy Jasper Wieck. The agreement, nearly complete, involves a government-to-government pact where Germany has relaxed previous defense export restrictions, making a "180-degree shift" and demonstrating a greater willingness to grant licenses and transfer technology to India. This collaboration, between Germany's TKMS and India's

state-owned Mazagon Dock, will see the vessels built in India, integrating numerous components and potentially paving the way for broader cooperation in weapons and other systems. (Source: Bloomberg)

Our view: *This is largely a process and political update as talks have going since 2025 and reports of an imminent agreement have circulated previously. The incremental development is confirmation that Germany has completed its documentation and internal approvals, including the government-to-government framework, with the deal now awaiting India's internal clearance. A firm award would be transformative for TKMS's backlog, although extensive Indian production means TKMS would capture only part of the $7.5bn-$8bn headline value.*

Argentina Eyes New Submarines and Frigates in 2027 Budget Plan

Argentina is making a significant move to revitalize its naval power, as indicated in its draft 2027 national budget, which includes authorization to secure up to US$2.3 billion for three new submarines and US$1.2 billion for two multimission frigates. Potential submarine suppliers, including Naval Group and TKMS, are reportedly following the requirement closely, with a Scorpène selection potentially involving Brazil's robust industrial infrastructure. The frigate program is less developed, with European options like the Italian FREMM and a design derived from Brazil's Tamandaré-class frigates being considered to replace Argentina's aging fleet. The realization of these naval acquisitions is strictly contingent on securing acceptable external financing due to domestic inflation. (Source: Naval News)

Our view: *This is more relevant for TKMS than Fincantieri, but remains early-stage pipeline optionality. Argentina has reportedly received submarine proposals from TKMS and Naval Group, giving TKMS a credible opportunity based on Argentina's familiarity with German-designed submarines, although Naval Group could offer industrial cooperation through Brazil's established Scorpène infrastructure. TKMS may also participate through a smaller Tamandaré-derived frigate design, while Fincantieri 's FREMM is reportedly under consideration, Argentina's $1.2bn financing ceiling for two frigates appears low relative to recent new-build FREMM pricing of around €750m per ship before export-specific weapons, support and infrastructure. Crucially, the draft budget authorises borrowing rather than allocating executable procurement funding, with no supplier selected and both programmes dependent on external financing. The stated ceilings of $2.3bn for three submarines and $1.2bn for two frigates may also constrain configuration and support content.*

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

OHB: Post Roadshow TP increased to €300 (25 September 2026)

CSG: Feedback from management dinner (23 September 2026)

Exosens: FY26 guidance uplift and Q3 preview (18 September 2026)

Thales: Feedback from Management dinner (14 September 2026)

Theon International: Post H1 26 view, TP unchanged (11 September 2026)

Kongsberg Gruppen: Missile-led growth; initiate at BUY (10 September 2026)

Airbus: August deliveries seasonally in line (8 September 2026)

Leonardo: Continuity at the helm (13 August 2026)

Renk AG: Still rolling on (13 August 2026)

TKMS: Keeps getting better, TP up to €112 (13 August 2026)

MTU Aero Engines: Investment case intact post H1 results (12 August 2026)

Hensoldt: Still solid momentum in H2 and beyond (12 August 2026)

CSG: Strong H1, TP unchanged (11 August 2026)

BAE Systems Plc: Fair valuation reflecting a solid outlook, but some catalysts to watch (10 August 2026)

OHB: Finding its orbit (7 August 2026)

Renk AG: Q2-26 results: in line (6 August 2026)

Rolls-Royce: Momentum continuing to build beyond 2028 (4 August 2026)

Hensoldt: Q2-26 results: a beat on Q2 orders and revenues, FY26 guidance confirmed (31 July 2026)

Leonardo: Q2-26 results: Our first take (30 July 2026)

MTU Aero Engines: Q2-26 results: our first take (30 July 2026)

BAE Systems Plc: H1-26 results: a 4% beat on EPS, a strong FCF and guidance upgrade (30 July 2026)

Rolls-Royce: H1-26 results: a clear beat, with FY26 guidance upgrade (30 July 2026)

Fincantieri: Post H1 - more orders to come (30 July 2026)

Airbus: Positive Q2 results across the board (29 July 2026)

Safran: Still flying high on improved FY26 outlook (28 July 2026)

Exosens: H1 26 - first take (28 July 2026)

Safran: H1-26 results: a beat on EBIT and FCF, FY26 guidance raised (28 July 2026)

Theon International: H1 26 results - initial thoughts (27 July 2026)

Thales: Enhanced Visibility Underpins Buy Case (27 July 2026)

TKMS: Q3 FY26 preview and what next? (23 July 2026)

Thales: Better than expected H1-26 results, but DIS disappoints (23 July 2026)

Dassault Aviation: Better-than-expected H1-26 results, with Falcon orders finally bouncing (22 July 2026)

Airbus: A mid-term guidance, a €5bn buyback and a flight plan beyond 2029 (22 July 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

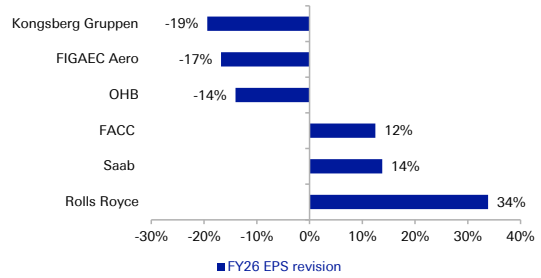
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

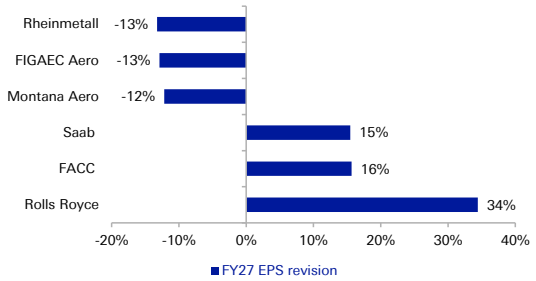
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



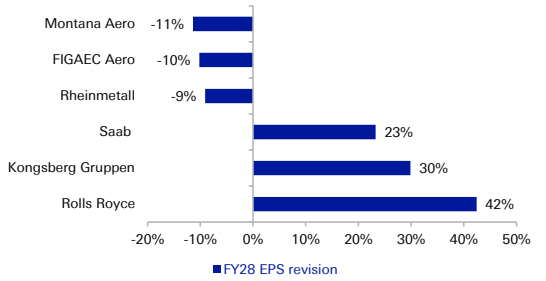
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

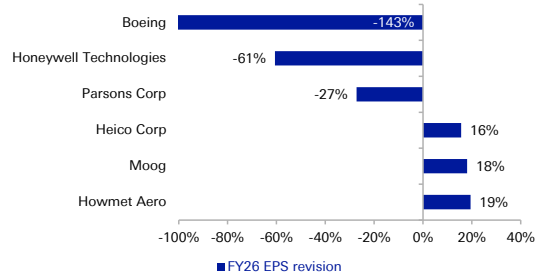


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

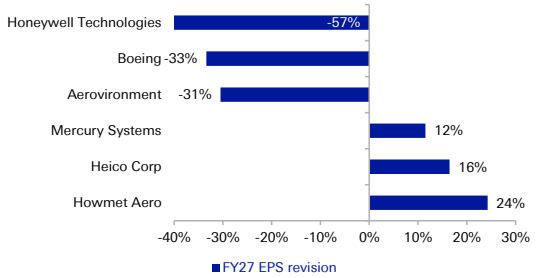
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



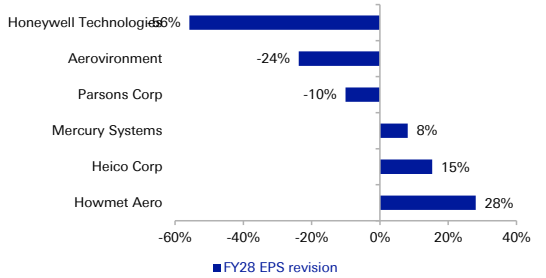
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

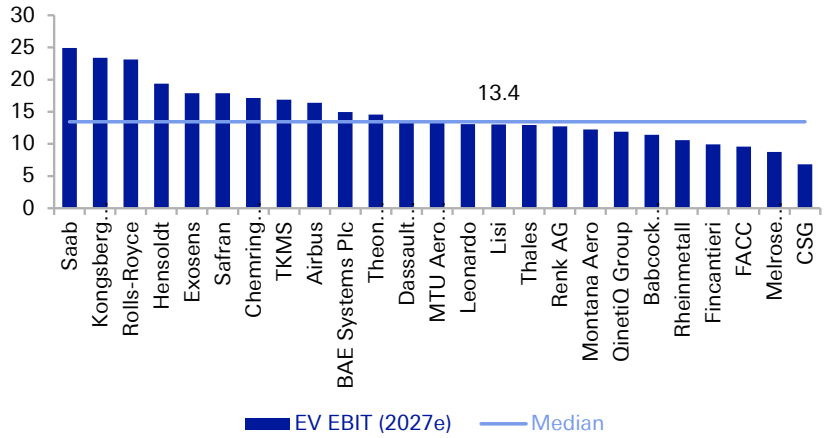


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

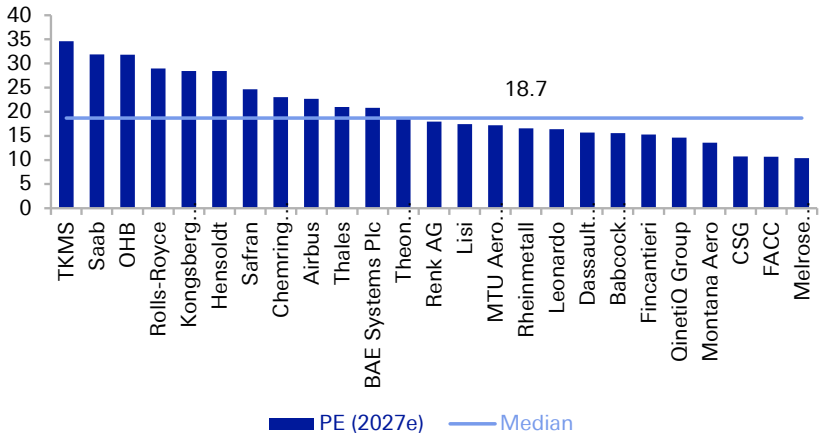
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



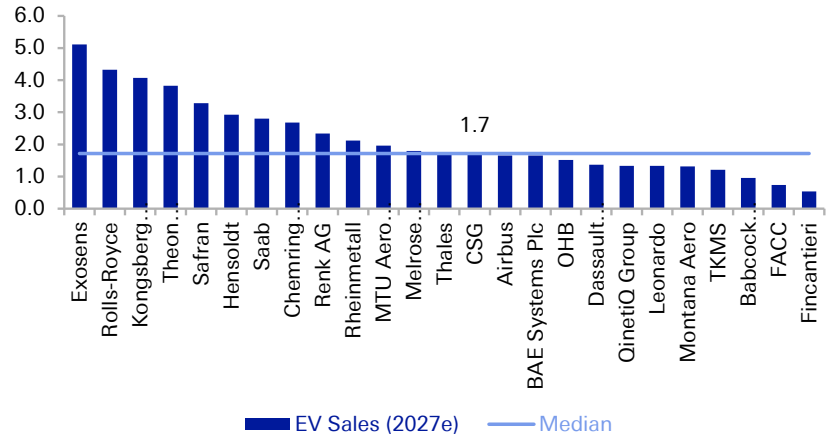
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



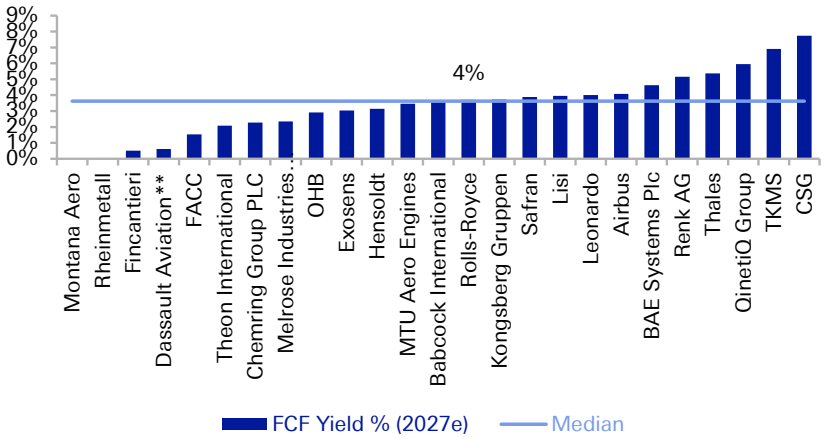
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

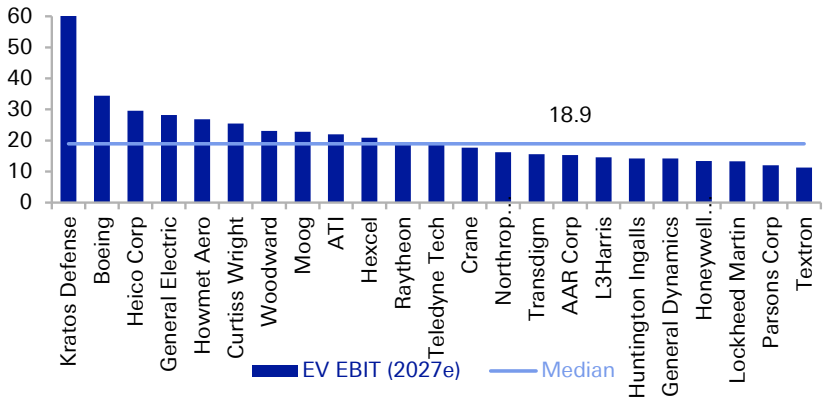
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

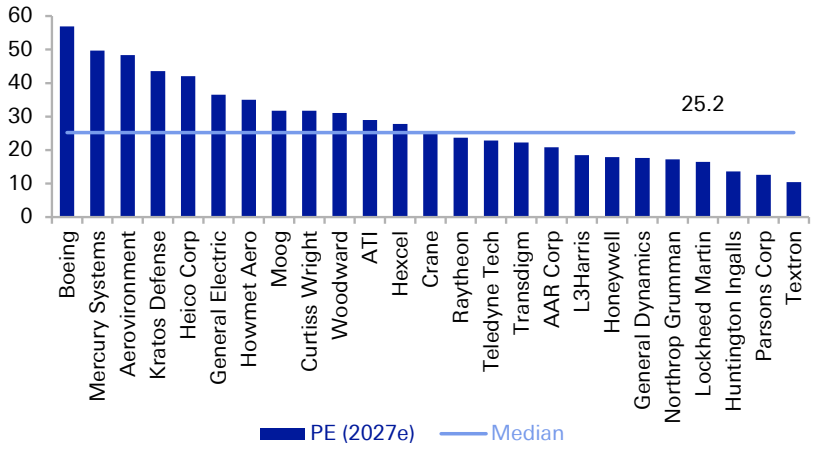
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



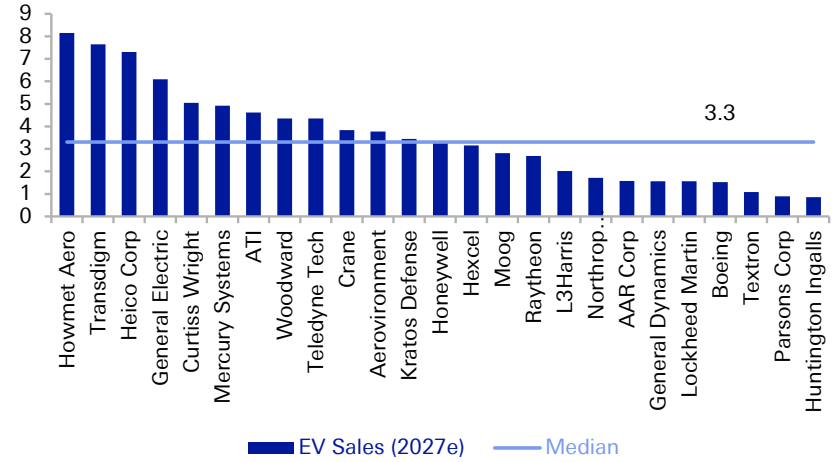
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



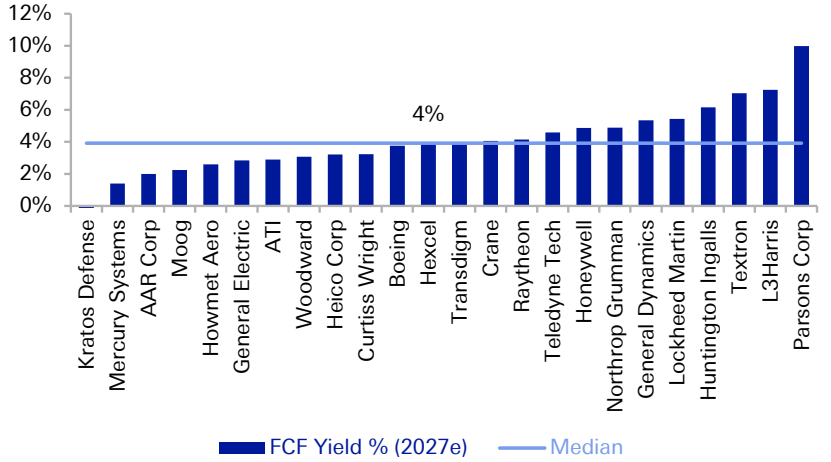
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

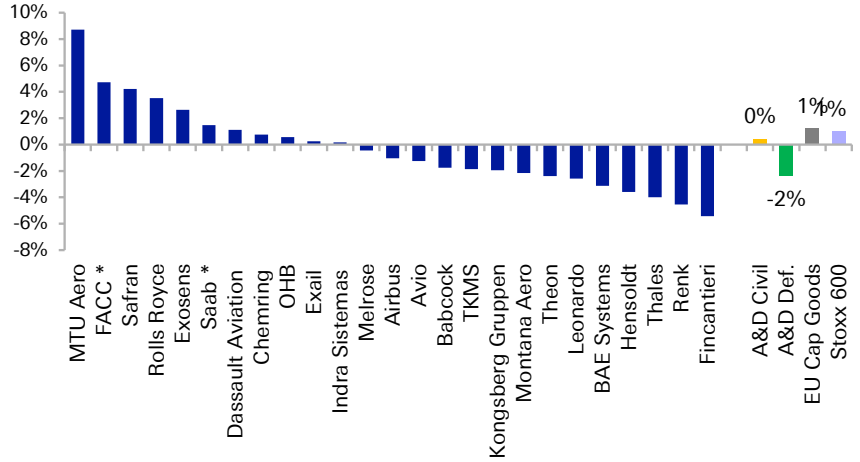
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

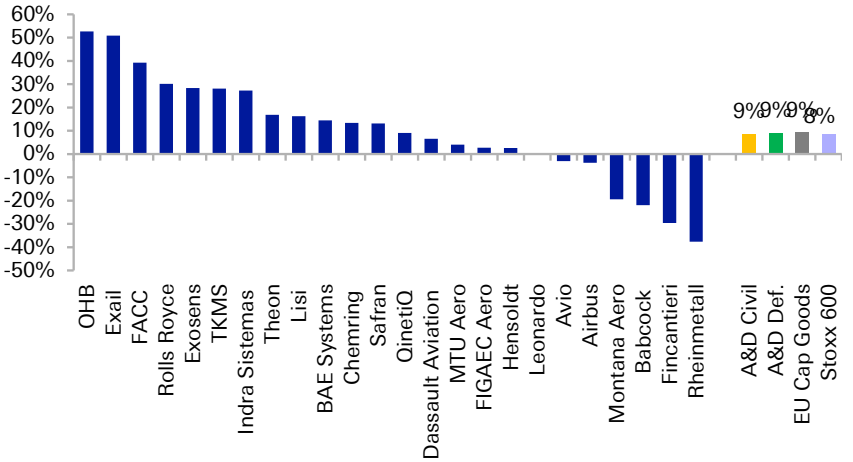
A&D share price performance

Figure 16: Europe A&D – last week's performance



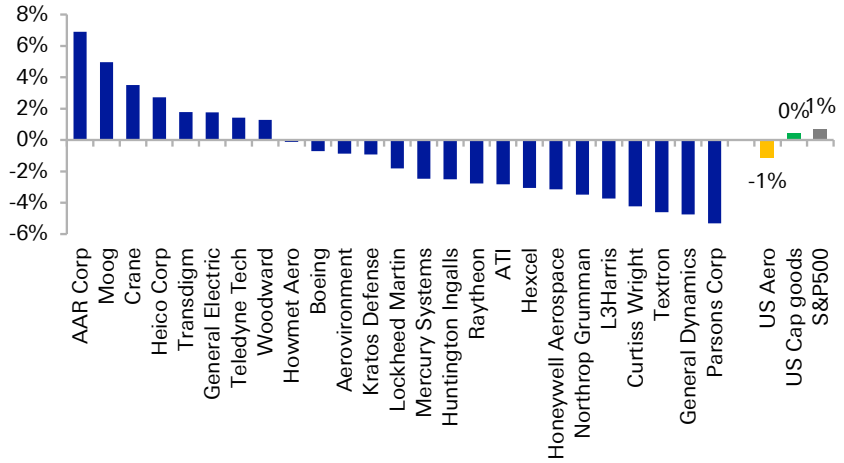
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



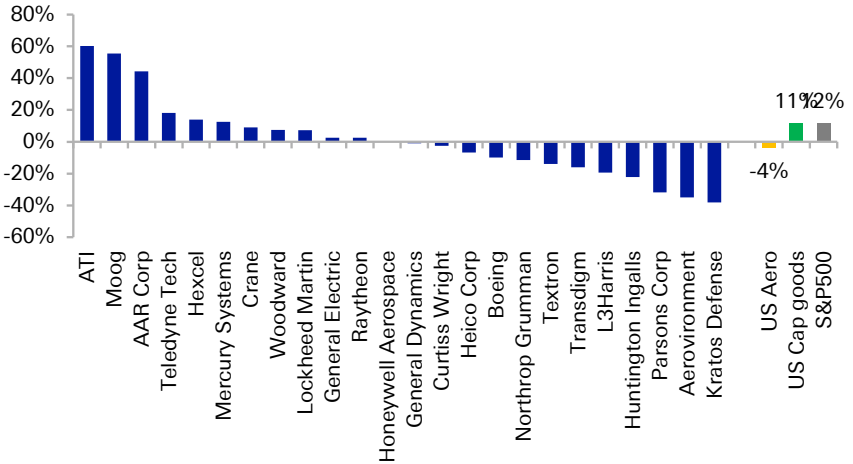
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
25-Sep-26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	191.4	232.0	21%	Buy	9.6%	10.1%	11.1%	1.8	1.7	1.4	19.2	16.4	12.7	25.9	22.7	17.8	1.8%	2.1%	2.9%	3.0%	4.1%	5.3%	59%	70%	71%
Safran	Christophe Menard	EUR	336.6	398.0	18%	Buy	18.0%	17.8%	18.6%	3.7	3.3	2.9	20.4	17.9	15.8	31.3	24.6	21.8	1.4%	1.8%	2.0%	3.5%	3.9%	4.5%	75%	73%	76%
MTU Aero Engines	Christophe Menard	EUR	369.5	435.0	18%	Buy	14.4%	14.7%	14.7%	2.2	2.0	1.7	15.4	13.3	11.8	19.9	17.2	15.3	1.3%	1.7%	2.6%	2.8%	3.5%	4.5%	40%	43%	50%
Rolls-Royce	Christophe Menard	GBP	1,501.2	1,705.0	14%	Buy	19.1%	18.7%	18.6%	5.0	4.3	3.8	26.0	23.1	20.4	33.3	29.0	25.3	0.9%	1.0%	1.2%	3.3%	3.7%	4.5%	88%	87%	95%
OHB	Sriram Krishnan, CFA	EUR	175.0	300.0	71%	Buy	7.5%	8.7%	9.8%	2.0	1.5	1.1	26.1	17.5	10.8	45.9	31.8	20.2	0.5%	0.9%	1.4%	1.9%	2.9%	5.3%	60%	62%	73%
Melrose Industries PLC	Richard Paige	GBP	476.1	575.0	21%	Hold	18.0%	20.5%	22.0%	2.0	1.8	1.6	11.1	8.7	7.4	13.6	10.4	8.8	1.7%	2.1%	2.4%	1.5%	2.3%	5.3%	13%	16%	31%
Lisi	*Not covered*	EUR	61.5	-	-	-	10.6%	11.3%	11.9%	1.6	1.5	1.3	15.4	13.0	11.3	21.5	17.5	15.0	0.9%	1.1%	1.2%	2.7%	4.0%	5.1%	38%	47%	52%
FACC	*Not covered*	EUR	16.0	-	-	-	6.1%	7.7%	8.4%	0.8	0.7	0.7	13.6	9.6	8.0	15.8	10.7	8.8	1.1%	2.0%	2.5%	6.2%	1.5%	5.2%	68%	12%	34%
Avio	*Not covered*	EUR	28.5	-	-	-	2.3%	2.0%	2.2%	1.3	1.2	1.1	59.7	61.8	50.4	82.9	94.2	88.4	0.6%	0.5%	0.6%				0%	0%	
Montana Aero	*Not covered*	CHF	22.8	-	-	-	9.1%	10.7%	12.0%	1.4	1.3	1.2	15.8	12.3	10.0	19.0	13.6	10.9	1.1%	1.6%							
FIGAEC Aero	*Not covered*	EUR	11.1	-	-	-	6.8%	7.6%	9.0%	1.6	1.4	1.3	23.0	18.6	14.1	43.2	24.6	14.5		0.0%		0.3%	2.7%	5.1%	5%	32%	46%
Civil median							**9.4%**	**10.4%**	**11.5%**	**1.8**	**1.6**	**1.4**	**19.8**	**16.9**	**12.3**	**28.6**	**23.6**	**16.5**	**1.1%**	**1.4%**	**1.7%**	**2.9%**	**3.2%**	**5.1%**	**59%**	**43%**	**62%**
BAE Systems Plc	Christophe Menard	GBP	1,961.5	2,325.0	19%	Hold	10.9%	11.1%	11.2%	1.9	1.7	1.5	17.0	14.9	13.5	23.8	20.8	18.7	1.9%	2.2%	2.4%	3.8%	4.6%	4.9%	62%	68%	65%
Thales	Christophe Menard	EUR	228.7	296.0	29%	Buy	12.7%	13.2%	13.6%	1.9	1.7	1.5	15.3	13.0	11.1	26.4	21.0	18.1	1.9%	2.3%	2.6%	5.1%	5.4%	6.6%	81%	74%	81%
Dassault Aviation**	Christophe Menard	EUR	290.4	330.0	14%	Hold	9.1%	9.6%	10.1%	1.5	1.4	1.2	16.2	13.4	10.7	19.0	15.7	13.3	1.5%	1.8%	2.2%	3.4%	0.6%	1.1%	100%	15%	20%
Renk AG	Christophe Menard	EUR	40.3	73.0	81%	Buy	17.9%	18.4%	18.8%	2.8	2.3	2.0	15.5	12.7	10.4	22.4	18.0	14.5	2.1%	2.8%	3.4%	4.4%	5.2%	6.2%	65%	63%	63%
Rheinmetall	Christoph Laskawi	EUR	974.0	1,800.0	85%	Buy	19.2%	20.0%	20.7%	3.0	2.1	1.6	15.6	10.6	7.9	24.8	16.5	12.6	1.6%	2.4%	3.1%	9.0%	0.1%	3.7%	151%	1%	31%
Leonardo	Christophe Menard	EUR	49.2	72.0	46%	Buy	9.5%	10.2%	11.1%	1.5	1.3	1.2	15.6	13.1	10.7	19.5	16.4	13.6	1.6%	2.0%	2.4%	4.3%	4.0%	4.6%	58%	46%	45%
Hensoldt	Christophe Menard	EUR	75.3	105.0	39%	Buy	13.6%	15.1%	16.5%	3.5	2.9	2.4	25.5	19.4	14.5	41.2	28.4	20.5	0.9%	1.2%	1.7%	2.3%	3.1%	4.2%	54%	56%	58%
QinetiQ Group	Richard Paige	GBP	484.8	600.0	24%	Buy	11.3%	11.2%	11.3%	1.4	1.3	1.3	12.4	11.9	11.2	15.3	14.6	13.4	2.3%	2.5%	2.7%	6.1%	5.9%	7.3%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	535.5	650.0	21%	Buy	15.0%	15.6%	16.1%	2.9	2.7	2.4	19.6	17.1	15.0	26.1	23.1	20.7	1.5%	1.8%	2.0%	0.0%	2.3%	4.6%	0%	35%	63%
Babcock International	James Beard	GBP	968.8	1,100.0	14%	Hold	5.7%	8.4%	8.7%	1.2	1.0	0.9	20.5	11.4	10.0	29.3	15.6	13.7	0.8%	1.0%	1.1%	5.3%	3.6%	5.0%	89%	39%	50%
Fincantieri	Sriram Krishnan, CFA	EUR	11.8	19.0	62%	Buy	4.3%	5.4%	6.0%	0.6	0.5	0.5	14.0	9.9	8.1	23.0	15.3	11.7	0.0%	1.3%	2.1%	-1.3%	0.5%	4.0%	-14%	4%	26%
Exosens	Sriram Krishnan, CFA	EUR	62.3	63.0	1%	Hold	19.2%	28.6%	28.7%	5.8	5.1	4.3	30.3	17.9	15.1	52.9	24.8	21.2	0.5%	0.9%	1.1%	2.5%	3.0%	3.5%	72%	53%	52%
Theon International	Sriram Krishnan, CFA	EUR	31.0	39.0	26%	Buy	26.1%	26.2%	26.4%	4.9	3.8	3.2	18.9	14.6	11.9	23.1	18.7	15.0	1.0%	1.3%	1.7%	0.4%	2.1%	3.4%	6%	25%	34%
TKMS	Sriram Krishnan, CFA	EUR	84.7	112.0	32%	Buy	6.6%	7.2%	7.5%	1.5	1.2	0.9	23.0	16.9	12.0	42.8	34.6	27.4	0.0%	0.9%	1.3%	4.9%	6.9%	6.0%	164%	189%	128%
CSG	Sriram Krishnan, CFA	EUR	15.0	25.0	66%	Buy	24.6%	24.8%	25.1%	2.1	1.7	1.4	8.4	6.8	5.4	13.0	10.7	9.0	0.0%	2.8%	3.7%	7.1%	7.7%	9.7%	57%	54%	57%
Kongsberg Gruppen	Sriram Krishnan, CFA	NOK	316.2	360.0	14%	Buy	16.4%	17.4%	17.9%	6.1	4.1	3.0	36.9	23.4	17.0	36.7	28.5	21.4	1.9%	2.1%	2.8%	2.7%	3.7%	4.6%	107%	95%	86%
Saab	*Not covered*	SEK	612.5	-	-	-	10.8%	11.3%	11.7%	3.4	2.8	2.4	31.6	24.9	20.4	40.7	31.9	25.9	0.5%	0.7%	0.9%	0.9%	1.4%	2.3%	29%	34%	47%
Indra Sistemas	*Not covered*	EUR	61.9	-	-	-	10.4%	10.7%	11.3%	1.5	1.4	1.2	14.8	12.7	10.8	22.7	19.1	16.2	0.7%	0.8%	0.9%	4.0%	4.7%	5.7%	62%	63%	64%
Vincorion	Mira Wiegratz	EUR	17.6	26.0	48%	Buy	16.8%	17.9%	19.5%	3.1	2.4	2.0	18.4	13.4	10.4	26.2	18.7	14.8	0.0%	0.5%	1.2%	-0.4%	2.5%	5.2%	-6%	30%	50%
Exail	*Not covered*	EUR	124.8	-	-	-	16.9%	19.1%	20.5%	3.9	3.1	2.6	23.2	16.1	12.8	89.2	32.1	23.8	0.0%	0.0%		2.3%	3.1%	4.5%	50%	47%	54%
Defence median							**12.0%**	**12.3%**	**12.6%**	**2.0**	**1.7**	**1.5**	**17.0**	**13.4**	**11.1**	**24.8**	**18.7**	**15.0**	**1.3%**	**1.8%**	**2.2%**	**3.4%**	**3.1%**	**4.6%**	**62%**	**47%**	**56%**
UK median							**11.1%**	**11.2%**	**11.3%**	**1.9**	**1.6**	**1.5**	**20.1**	**16.0**	**12.3**	**27.7**	**21.9**	**19.5**	**1.2%**	**1.5%**	**1.7%**	**3.5%**	**3.3%**	**5.0%**	**68%**	**51%**	**69%**
EU median							**10.6%**	**11.3%**	**11.9%**	**1.9**	**1.7**	**1.4**	**17.3**	**13.4**	**11.2**	**25.3**	**18.9**	**15.1**	**1.0%**	**1.6%**	**2.2%**	**2.8%**	**3.1%**	**4.6%**	**59%**	**47%**	**52%**
European A&D Sector median							**10.9%**	**11.2%**	**11.8%**	**1.9**	**1.7**	**1.5**	**18.4**	**13.4**	**11.3**	**25.9**	**19.1**	**15.3**	**1.1%**	**1.7%**	**2.1%**	**3.2%**	**3.1%**	**4.9%**	**60%**	**46%**	**56%**
European A&D Sector average / mean							**12.4%**	**13.5%**	**14.2%**	**2.4**	**2.0**	**1.7**	**20.4**	**16.2**	**13.1**	**30.8**	**23.0**	**18.8**	**1.1%**	**1.5%**	**2.0%**	**3.1%**	**3.1%**	**5.1%**	**57%**	**46%**	**58%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 24 September 2026*

Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
25-Sep-26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	320	450	41%	Buy	21.4%	21.6%	22.3%	6.8	6.1	5.5	31.7	28.2	24.7	40.6	36.5	31.7	0.6%	0.7%	0.8%	2.7%	2.8%	3.2%	84%	79%	77%
Raytheon	Scott Deuschle	USD	189	238	26%	Buy	13.2%	13.8%	14.4%	2.9	2.7	2.5	22.2	19.5	17.1	26.3	23.7	21.3	1.5%	1.6%	1.7%	3.4%	4.2%	4.7%	68%	74%	75%
Honeywell Aerospace	Not Covered	USD	158	-	-	-	24.0%	24.7%	24.8%	3.6	3.3	3.1	14.9	13.4	12.3	20.5	17.9	15.6	0.9%	1.7%	1.9%	2.5%	4.9%	5.9%	29%	50%	56%
Boeing	Scott Deuschle	USD	197	248	26%	Hold	0.9%	4.4%	7.0%	1.8	1.5	1.3	NM	34.4	18.8	NM	56.9	25.6	0.0%	0.1%	0.6%	1.9%	3.8%	7.1%	NM	117%	128%
Lockheed Martin	Scott Deuschle	USD	524	581	11%	Hold	11.9%	11.7%	11.6%	1.6	1.6	1.5	13.8	13.3	12.6	17.4	16.4	15.1	2.7%	2.8%	2.9%	5.9%	5.4%	5.9%	74%	66%	67%
General Dynamics	Scott Deuschle	USD	336	384	14%	Hold	10.5%	10.9%	11.0%	1.7	1.6	1.5	15.9	14.2	13.3	19.6	17.7	16.5	1.9%	2.0%	2.1%	5.5%	5.3%	5.7%	84%	76%	76%
Northrop Grumman	Scott Deuschle	USD	509	615	21%	Buy	10.5%	10.5%	10.7%	1.8	1.7	1.6	17.5	16.2	15.2	17.7	17.2	15.8	1.9%	2.1%	2.2%	4.7%	4.9%	4.9%	73%	71%	68%
Transdigm	Scott Deuschle	USD	1,105	1,361	23%	Hold	48.6%	49.0%	49.9%	8.6	7.6	7.0	17.7	15.6	14.0	26.6	22.2	19.3	4.3%	2.3%	2.8%	3.2%	3.9%	4.5%	39%	42%	45%
L3Harris	Scott Deuschle	USD	238	269	13%	Hold	13.7%	13.9%	14.2%	2.2	2.0	1.8	16.3	14.6	12.8	20.0	18.5	16.4	2.1%	2.2%	2.3%	6.7%	7.2%	7.9%	92%	92%	91%
Howmet Aero	Scott Deuschle	USD	229	343	50%	Buy	29.7%	30.3%	31.9%	9.4	8.1	7.0	31.5	26.9	21.9	43.1	35.1	28.3	0.2%	0.3%	0.3%	2.3%	2.6%	3.3%	71%	68%	70%
Heico Corp	Scott Deuschle	USD	306	425	39%	Buy	24.3%	24.7%	25.1%	8.4	7.3	6.5	34.4	29.6	25.8	48.3	42.0	36.4	0.1%	0.1%	0.1%	3.0%	3.2%	3.7%	82%	78%	79%
Huntington Ingalls	Scott Deuschle	USD	266	304	14%	Hold	5.6%	6.0%	6.2%	0.9	0.9	0.8	16.2	14.3	12.9	14.1	13.6	12.6	2.1%	2.2%	2.4%	5.6%	6.2%	6.9%	76%	75%	78%
Hexcel	Scott Deuschle	USD	85	100	17%	Hold	13.2%	15.1%	16.7%	3.5	3.2	2.8	26.3	20.9	16.9	35.8	27.8	22.3	0.8%	0.9%	1.0%	3.1%	3.9%	4.6%	73%	74%	73%
Woodward	Scott Deuschle	USD	326	502	54%	Buy	18.3%	18.8%	19.9%	4.6	4.3	4.0	25.3	23.1	19.9	34.4	31.1	26.7	0.4%	0.4%	0.5%	1.8%	3.1%	3.6%	43%	68%	69%
Crane	Scott Deuschle	USD	205	240	17%	Buy	20.6%	21.7%	22.9%	4.2	3.8	3.5	20.3	17.7	15.3	28.9	25.2	22.2	0.5%	0.5%	0.6%	3.2%	4.1%	4.6%	63%	72%	75%
ATI	Scott Deuschle	USD	186	262	41%	Buy	19.1%	21.0%	22.1%	5.1	4.6	4.2	26.7	22.0	18.9	36.5	29.0	24.8				2.3%	2.9%	3.6%	60%	62%	66%
Teledyne Tech	*Not Covered*	USD	612	-	-	-	22.8%	22.9%	23.4%	4.6	4.3	4.2	20.1	18.9	17.8	24.7	22.9	21.3	0.0%	0.0%	0.0%	3.9%	4.6%	4.8%	75%	82%	81%
Textron	*Not Covered*	USD	76	-	-	-	9.3%	9.6%	10.0%	1.1	1.1	1.1	12.2	11.3	10.5	11.8	10.5	9.5	0.1%	0.1%	0.1%	5.8%	7.0%	8.5%	53%	59%	67%
Curtiss Wright	*Not Covered*	USD	544	-	-	-	19.3%	19.8%	20.4%	5.5	5.0	4.7	28.4	25.5	23.0	35.6	31.7	28.4	0.2%	0.2%	0.2%	3.0%	3.2%	3.5%	81%	80%	78%
Parsons Corp	*Not Covered*	USD	42	-	-	-	5.2%	7.4%	8.0%	0.9	0.9	0.8	18.4	12.1	10.6	17.3	12.6	11.0	0.0%	0.0%	0.0%	8.2%	10.0%	11.2%	114%	91%	89%
Moog	*Not Covered*	USD	383	-	-	-	12.5%	12.4%	12.8%	3.0	2.8	2.6	24.1	22.8	20.6	32.7	31.8		0.3%	0.3%	0.3%	2.2%	2.2%	2.5%	50%	47%	48%
Aerovironment	*Not Covered*	USD	159	-	-	-	-13.3%	0.5%	3.5%	4.4	3.8	3.3	NM	NM	NM	55.2	48.3	35.2				-0.2%	-1.0%	2.7%	NM	NM	NM
Kratos Defense	*Not Covered*	USD	47	-	-	-	1.1%	4.3%	6.0%	4.2	3.4	2.8	NM	80.8	46.9	56.8	43.5	33.4				-1.2%	-0.2%	0.7%	NM	-21%	40%
AAR Corp	*Not Covered*	USD	121	-	-	-	10.1%	10.3%	10.8%	1.8	1.6	1.5	17.4	15.3	13.7	24.6	20.8	18.4				1.4%	2.0%	2.3%	21%	26%	26%
Standard Aero	*Not Covered*	USD	22	-	-	-	10.4%	11.3%	11.9%	1.5	1.4	1.3	14.5	12.1	10.6	14.6	13.0	10.9				3.9%	4.7%	6.6%	42%	44%	53%
Mercury Systems	*Not Covered*	USD	83	-	-	-	0.4%	6.0%	9.1%	5.6	4.9	4.4	NM	NM	48.5	77.4	49.7	37.3				1.2%	1.4%	2.5%	NM	109%	113%
York Space Systems	*Not Covered*	USD	10	-	-	-	-49.3%	-12.6%	1.8%	2.5	2.0	1.5	-5.1	-15.7	86.1	-5.4	-18.4		0.0%	0.0%	0.0%	-16.6%	5.7%	4.3%	115%	-121%	NM
Voyager Technologies	*Not Covered*	USD	31	-	-	-	-72.6%	-21.1%	-4.3%	7.1	4.0	2.0	-9.7	-18.8	-47.0	-9.9	-20.1		0.0%	0.0%	0.0%	-15.6%	-17.6%	-2.2%	NM	NM	94%
Karman Holdings	*Not Covered*	USD	35	-	-	-	19.0%	22.5%	23.8%	7.4	5.8	4.5	38.8	25.6	19.1	59.7	36.2		0.0%	0.0%	0.0%	0.3%	2.4%	3.0%	10%	52%	49%
SpaceX	Edison Yu	USD	148	235	59%	Buy	16.2%	39.6%	44.6%	26.2	11.5	7.1	NM	29.2	15.8	139.7	43.1	26.3	0.0%	0.0%	0.0%	-2.2%	-5.5%	-3.2%	NM	NM	-72%
MDA Space	Edison Yu	CAD	31	41	30%	Buy	7.8%	12.1%	12.8%	2.8	1.9	1.6	35.5	15.3	12.7	32.0	18.7	16.4				-3.2%	-0.5%	3.1%	NM	-8%	39%
Intuitive Machines	Edison Yu	USD	16	20	27%	Buy	-6.3%	0.5%	2.1%	2.9	2.2	2.2	NM	NM	NM	NM	NM	NM				-6.2%	-1.8%	-0.3%	NM	NM	-36%
Firefly Aerospace	Edison Yu	USD	23	35	52%	Buy	-76.7%	-41.8%	-11.0%	8.0	5.3	3.6	NM	NM	NM	NM	NM	NM				-9.2%	-3.9%	-0.8%	106%	53%	29%
Planet Labs	Edison Yu	USD	18	28	59%	Buy	-8.6%	-7.5%	3.2%	7.3	12.3	8.9	NM	NM	NM	NM	NM	166.4	0.0%	0.0%	0.0%	0.9%	0.2%	0.9%	NM	-44%	NM
FTAI	Shannon Doherty	USD	175	290	66%	Buy	24.0%	26.2%	26.8%	5.6	3.3	2.6				14.3	8.9	7.8	1.0%	1.1%	1.1%	7.2%	10.8%	12.3%	142%	116%	105%
US A&D Sector median							**12.2%**	**12.0%**	**12.3%**	**3.5**	**3.2**	**2.8**	**19.2**	**17.7**	**16.3**	**26.6**	**23.3**	**21.3**	**0.4%**	**0.5%**	**0.6%**	**3.1%**	**3.9%**	**4.6%**	**72%**	**71%**	**70%**
US A&D Sector average / mean							**5.6%**	**11.7%**	**14.7%**	**6.0**	**4.8**	**4.1**	**20.2**	**19.2**	**18.7**	**32.6**	**24.5**	**26.7**	**1%**	**1%**	**1%**	**1.1%**	**2.6%**	**4.0%**	**74%**	**56%**	**61%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 24 September 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	191	-1%	-6%	-2%	14%	-1%	-4%	-14%	22%	-2%	-4%	-2%	4%	-18%	-12%
Safran	EUR	337	4%	-2%	-2%	17%	15%	13%	-8%	28%	3%	0%	-2%	8%	-1%	5%
MTU Aero	EUR	370	9%	4%	2%	15%	1%	4%	-9%	39%	8%	6%	2%	6%	-15%	-4%
Rolls Royce	GBP	1,501	4%	-2%	5%	26%	28%	30%	-5%	47%	3%	0%	5%	16%	12%	22%
Melrose	GBP	476	0%	-7%	0%	-5%	-19%	-19%	-30%	16%	-1%	-4%	0%	-15%	-36%	-27%
Lisi *	EUR	62	0%	-1%	-7%	15%	34%	16%	-15%	38%	-1%	1%	-7%	6%	17%	8%
FACC *	EUR	16	5%	2%	-11%	18%	79%	39%	-19%	90%	4%	5%	-11%	9%	63%	31%
Avio	EUR	28	-1%	-7%	0%	123%	-25%	-3%	-46%	22%	-2%	-5%	0%	113%	-42%	-11%
OHB	EUR	175	1%	-11%	-45%	-35%	125%	53%	-74%	175%	0%	-9%	-45%	-44%	108%	44%
Montana Aero	CHF	23	-2%	-9%	11%	-16%	-19%	-19%	-35%	15%	-3%	-6%	11%	-26%	-35%	-28%
FIGAEC Aero	EUR	11	7%	5%	-5%	16%	-2%	3%	-15%	24%	6%	7%	-6%	6%	-19%	-6%
Civil median			**0%**	**-2%**	**-1%**	**15%**	**8%**	**9%**	**-15%**	**33%**	**-1%**	**0%**	**-1%**	**6%**	**-8%**	**0%**
BAE Systems	GBP	1,962	-3%	-7%	9%	-9%	-2%	14%	-17%	23%	-4%	-4%	9%	-18%	-18%	6%
Thales	EUR	229	-4%	-9%	5%	-7%	-11%	0%	-18%	8%	-5%	-6%	4%	-16%	-27%	-9%
Dassault Aviation	EUR	290	1%	-1%	0%	-11%	1%	7%	-20%	11%	0%	1%	0%	-20%	-15%	-2%
Renk	EUR	40	-5%	-14%	-2%	-23%	-49%	-25%	-55%	3%	-6%	-12%	-2%	-32%	-66%	-33%
Rheinmetall	EUR	974	-4%	-13%	3%	-34%	-51%	-38%	-51%	8%	-5%	-11%	3%	-44%	-67%	-46%
Leonardo	EUR	49	-3%	-10%	7%	-17%	-7%	0%	-26%	11%	-4%	-7%	6%	-26%	-24%	-8%
Hensoldt	EUR	75	-4%	-14%	17%	2%	-27%	3%	-36%	19%	-5%	-11%	17%	-7%	-44%	-6%
Saab *	SEK	613	1%	-4%	25%	-4%	7%	14%	-18%	38%	0%	-2%	25%	-13%	-10%	6%
Kongsberg Gruppen	NOK	316	-2%	0%	11%	-4%	19%	47%	-10%	67%	-3%	3%	11%	-13%	2%	38%
QinetiQ	GBP	485	-3%	-8%	16%	2%	-8%	9%	-16%	22%	-4%	-6%	16%	-7%	-25%	1%
Babcock	GBP	969	-2%	-11%	-2%	-23%	-21%	-22%	-37%	7%	-3%	-9%	-2%	-32%	-38%	-30%
Chemring	GBP	536	1%	-3%	11%	7%	-3%	13%	-18%	20%	0%	-1%	11%	-2%	-20%	5%
Fincantieri	EUR	12	-5%	-7%	14%	-10%	-44%	-30%	-57%	22%	-6%	-5%	14%	-20%	-61%	-38%
Indra Sistemas	EUR	62	0%	2%	31%	29%	58%	27%	-6%	68%	-1%	4%	30%	20%	42%	19%
Exosens	EUR	62	3%	2%	18%	2%	45%	28%	-16%	56%	2%	4%	18%	-7%	28%	20%
Exail	EUR	125	0%	0%	34%	-1%	37%	51%	-22%	77%	-1%	3%	34%	-11%	20%	43%
Theon	EUR	31	-2%	-8%	1%	6%	2%	17%	-22%	31%	-3%	-6%	0%	-3%	-14%	9%
TKMS	EUR	85	-2%	-7%	10%	5%		28%	-22%	49%	-3%	-5%	10%	-4%		20%
CSG	EUR	15	-3%	-20%	22%			-40%	-58%	23%	-4%	-17%	21%			-48%
Defence median			**-2%**	**-7%**	**11%**	**-4%**	**-3%**	**9%**	**-20%**	**22%**	**-3%**	**-5%**	**11%**	**-13%**	**-20%**	**1%**
UK median			**0%**	**-7%**	**5%**	**2%**	**-3%**	**13%**	**-17%**	**22%**	**-1%**	**-4%**	**5%**	**-7%**	**-20%**	**5%**
EU median			**0%**	**-5%**	**2%**	**0%**	**1%**	**5%**	**-19%**	**26%**	**-1%**	**-3%**	**2%**	**-9%**	**-15%**	**-3%**
European A&D Sector median			**0%**	**-6%**	**2%**	**-1%**	**-2%**	**5%**	**-18%**	**22%**	**-2%**	**-4%**	**2%**	**-10%**	**-19%**	**-3%**
European A&D Sector average / mean			**0%**	**-5%**	**2%**	**3%**	**5%**	**8%**	**-25%**	**35%**	**-1%**	**-3%**	**2%**	**-6%**	**-12%**	**0%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 24 September 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	197	-1%	-7%	-10%	-1%	-8%	-10%	-23%	11%	-1%	-7%	-14%	-18%	-24%	-22%
Honeywell Aerospac	USD	158	-3%	-1%	-28%				-47%	6%	-4%	-2%	-33%	-17%	-17%	-12%
General Electric	USD	320	2%	-9%	-14%	8%	8%	3%	-18%	19%	1%	-9%	-19%	-9%	-9%	-9%
Raytheon	USD	189	-3%	-10%	1%	-3%	18%	2%	-17%	21%	-3%	-11%	-4%	-20%	1%	-9%
Transdigm	USD	1105	2%	-7%	-17%	-4%	-14%	-16%	-24%	3%	1%	-8%	-22%	-21%	-31%	-28%
Heico Corp	USD	306	3%	-13%	-11%	10%	-4%	-7%	-19%	20%	2%	-13%	-15%	-7%	-20%	-18%
Teledyne Tech	USD	612	1%	-2%	-2%	-2%	8%	18%	-12%	27%	1%	-3%	-7%	-19%	-9%	6%
Howmet Aero	USD	229	0%	-13%	-16%	-5%	21%	10%	-26%	25%	-1%	-13%	-21%	-22%	4%	-1%
Textron	USD	76	-5%	-7%	-15%	-16%	-8%	-14%	-25%	0%	-5%	-7%	-19%	-33%	-24%	-26%
Curtiss Wright	USD	544	-4%	-11%	-29%	-23%	5%	-3%	-33%	8%	-5%	-11%	-34%	-39%	-11%	-14%
Hexcel	USD	85	-3%	-9%	-11%	4%	40%	14%	-24%	42%	-4%	-9%	-16%	-13%	23%	2%
Parsons Corp	USD	42	-5%	-12%	-10%	-21%	-47%	-32%	-53%	17%	-6%	-12%	-15%	-38%	-63%	-44%
Mercury Systems	USD	83	-2%	-5%	-21%	6%	14%	13%	-35%	28%	-3%	-6%	-26%	-11%	-3%	1%
Moog	USD	383	5%	2%	-8%	25%	86%	55%	-15%	99%	4%	1%	-13%	8%	70%	44%
AAR Corp	USD	121	7%	-11%	-13%	2%	46%	44%	-22%	58%	6%	-11%	-18%	-15%	29%	33%
Woodward	USD	326	1%	-4%	-25%	-12%	34%	8%	-28%	40%	1%	-4%	-30%	-29%	17%	-4%
Crane	USD	205	4%	-1%	-9%	17%	14%	9%	-11%	28%	3%	-1%	-13%	0%	-2%	-3%
ATI	USD	186	-3%	-13%	-7%	25%	141%	60%	-24%	148%	-4%	-14%	-11%	8%	124%	49%
Civil median			**0%**	**-8%**	**-12%**	**-1%**	**14%**	**8%**	**-24%**	**23%**	**-1%**	**-8%**	**-17%**	**-18%**	**-6%**	**-7%**
Lockheed Martin	USD	524	-2%	-6%	4%	-16%	8%	7%	-24%	20%	-3%	-6%	-1%	-33%	-9%	-4%
General Dynamics	USD	336	-5%	-11%	-2%	-5%	4%	-1%	-16%	10%	-5%	-11%	-7%	-21%	-13%	-13%
Northrop Grumman	USD	509	-3%	-6%	2%	-26%	-13%	-11%	-34%	6%	-4%	-7%	-3%	-43%	-30%	-23%
L3Harris	USD	238	-4%	-9%	-17%	-32%	-18%	-19%	-37%	0%	-4%	-10%	-22%	-49%	-34%	-31%
Huntington Ingalls	USD	266	-3%	-9%	-5%	-34%	-2%	-22%	-42%	1%	-3%	-9%	-9%	-51%	-19%	-34%
Kratos Defense	USD	47	-1%	-11%	2%	-41%	-44%	-38%	-65%	9%	-2%	-11%	-3%	-58%	-61%	-50%
Aerovironment	USD	159	-1%	8%	16%	-20%	-47%	-35%	-62%	17%	-2%	7%	11%	-37%	-64%	-47%
Defence median			**-3%**	**-9%**	**2%**	**-26%**	**-13%**	**-19%**	**-37%**	**9%**	**-3%**	**-9%**	**-3%**	**-43%**	**-30%**	**-31%**
US A&D Sector median			**0%**	**-8%**	**-12%**	**-1%**	**14%**	**8%**	**-24%**	**23%**	**-1%**	**-8%**	**-17%**	**-18%**	**-6%**	**-7%**
US A&D Sector average / mean			**0%**	**-7%**	**-14%**	**0%**	**21%**	**9%**	**-25%**	**33%**	**-1%**	**-8%**	**-18%**	**-16%**	**3%**	**-3%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 24 September 2026*



Appendix 1

Important Disclosures

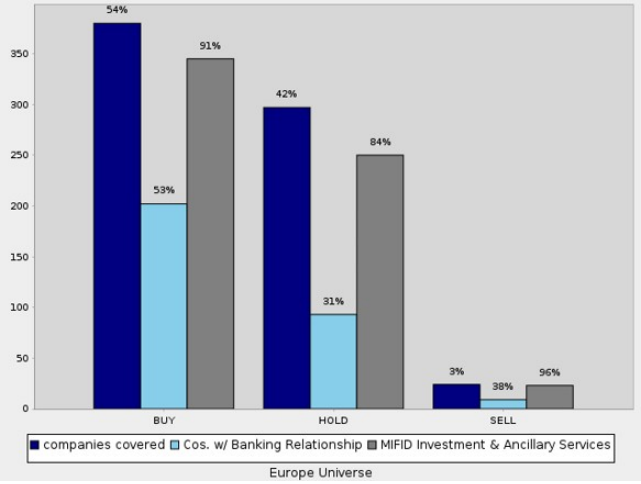
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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

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David Folkerts-Landau
Group Chief Economist and Global Head of Research

Pam Finelli
COO and Head of Fixed Income Research

Steve Pollard
Global Head of Company Research and Sales

Jim Reid
Global Head of Macro and Thematic Research

Tim Rokossa
Head of European Company Research

Matthew Barnard
Head of Americas Company Research

Debbie Jones
Global Head of Sustainability and Data Innovation, Research

Robin Winkler
Head of German Macro Research

Sameer Goel
Global Head of EM & APAC Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

Nilendra de-Mel
Head of APAC & Middle East Product Development

International Production Locations

Deutsche Bank AG
Deutsche Bank Place
Level 16
Corner of Hunter & Phillip Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG
Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG
Filiale Hongkong
International Commerce Centre,
1 Austin Road West,Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.
1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG
21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.
The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG
Filiale Singapur
One Raffles Quay, South Tower,
Singapore 048583
TeL: +65 6423 8001